1,19,679 crore. For the truncated 2020–21, RBI's abnormal income is as much as Rs 50,629 crore and normal income Rs 82,644 crore. With RBI earning normal income on an assets base of only 2.72 per cent, 2.24 per cent and 1.93 per cent for these three years, its normal income has declined consistently.

Excluding transfers to the provisions account, the Contingency Fund, RBI's expenditures in these three years were Rs 16,981 crore, Rs 18,925 crore and Rs 13,437 crore (annualized Rs 17,916 crore).

Taking into account the real normal income and real normal expenditure of RBI, the real surplus earned by RBI during these three years was Rs 94,439 crore, Rs 1,00,754 crore and Rs 69,207 crore (annualized Rs 92,276 crore) respectively. RBI transferred Rs 1,75,991 crore to the government for 2018–19, Rs 57,132 crore for 2019–20 and Rs 99,126 crore for 2020–21. RBI effectively transferred 186 per cent of the normal surplus for 2018–19, 57 per cent of normal surplus for 2019–20 and 143 per cent of normal surplus for 2020–21.

For the three years of 2018–2021 together, RBI earned normal surplus of Rs 2,64,400 crore, whereas it transferred Rs 3,32,249 crores to the government. In fact, it has ended up transferring 125.66 per cent of the normal surplus earned to the government during the three-year period.

RBI was faced with a major dilemma in 2020–21. It required Rs 39,634 crore to keep the Contingency Fund at the level of 5.5 per cent of the average Balance Sheet assets. It earned only Rs 69,207 crore during the truncated nine months. If it retained Rs 39,634, RBI could have transferred only Rs 29,573 crore to the government. Such a small transfer would have riled the government. Non-maintenance of the realized reserves at 5.5 per cent of the assets would have violated the Jalan Committee recommendation completely.

The only way RBI could have got over this impossible situation was by fiddling with this recommendation. This is what it did. As per the RBI